

British business has failed to make its voice heard

It needs to do better with Andy Burnham

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ILLUSTRATION: NATE KITCH

BUSINESS LEADERS can be naive when it comes to politics. It was a mistake for them to cheerlead for Labour before the most recent general election without thinking through the impact of the party's policies. For example, they seemed to assume that the Employment Rights Act, which gives workers much more protection against their bosses, would be heavily watered down despite its importance to Labour MPs and the trade unions. In talks on the details of the new law, representatives of the government and unions were shocked at business groups' poor negotiating skill.

Bosses are often afraid to engage in politics, beyond contributing bland quotes to government press releases. Public-affairs experts speak with frustration about how hard it is to persuade high-profile leaders to talk about policies that would help their firms, for fear of looking silly if they do not get what they want. The few who do speak out—such as Greg Jackson, the founder of Octopus Energy, or Tim Martin of J D Wetherspoon, a chain of pubs—can be resented by their peers.

Voters generally believe that if taxes do need to go up, it is fine to nobble business (though they are even keener on whacking the rich). Firms have work to do to explain to politicians why that will end up making the public poorer, by raising prices and curbing growth.

It is now time, most bosses believe, to put on a brave face and make nice with Andy Burnham's new team. Firms are anxious to avoid being cut out as they were under Sir Keir Starmer . The government should be “working with business from the start, not after decisions have been made”, according to Lena Levy of the British Chambers of Commerce, a lobby group. They are also crying out for the stability that the last lot promised but did not provide: barely a year into his government, Sir Keir replaced the business secretary, City minister and AI minister as part of a largely unnecessary reshuffle.

And businesses are desperate to avoid any further tax raids at the budget which the new chancellor, John Healey, will deliver in October. Even his fellow ministers admit they have no way of knowing how he will pay for an expected bump in defence spending. If the government keeps on avoiding broad-based tax rises while dodging serious spending cuts, businesses will fear a fiscal flogging that will keep animal spirits restrained. Speaking out more boldly could help reduce that risk. ■

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